

## **EXECUTIVE SUMMARY: Zambia Macroeconomic Analysis and impact of Debt restructuring (2015–2025)**

**Date:** April 7, 2026

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### **Overview**

This report evaluates Zambia's macro-fiscal transition, focusing on the impact of debt restructuring on investor confidence and trade resilience. We analysed a decade of data (2015–2025) across monetary indicators, external trade, and industrial composition to project the recovery outlook for the 2026 fiscal year

### **Insights & Analysis**

- Total external debt peaked near **\$29.5bn** in 2021, has begun a downward consolidation toward **\$23.4bn** as of 2025 December.
- From our analysis, the data confirms that Foreign direct investment (FDI) Net Inflows surged to **9.32%** of GDP in 2024. This is a decade-high peak, and it occurred in the same year of the finalization of debt restructuring agreements, proving that fiscal clarity is the primary driver of investor confidence.
- The analysis reveals a strong positive correlation between global copper prices and Gross domestic product (GDP) expansion. As production reached 0.89M tonnes in 2025, the Current Account shifted from deep deficits (2016) to -0.6, providing the liquidity necessary for post-restructuring stability. At the same time, it is also important to note that it could be largely driven by global copper prices peaking near **\$10k/mt**.
- Industrial Value Added (net contribution after intermediate consumption) is the primary driver of the economy at **33.58% of GDP**. **Agriculture, Forestry, and Fishing** contribute **5.54%**, highlighting a significant opportunity for expansion.
- Inflation has successfully decelerated to **7.50% (as of March 2026)**, reaching the lower bound of the target range set by the Bank of Zambia. The Policy Rate remains at **14.25%** which translates to cheaper cost of borrowing in Zambia.
- Zambia GDP growth decreased to **2.79%** in 2020 and this is likely due to covid-19 pandemic that put the country under lock down and this was followed by the debt default that saw the investor confidence decrease also as seen from the FDI gradual decrease until its lowest (-0.22) in 2022.
- Zambia growth also decrease in 2024 as the country was battling with the drought that saw the country struggle in food supply. This meant that the economy had to persevere without much contribution from the Agriculture sector.

### **Recommendations**

- In Zambia it's well known that copper is the dominant export, it is sensible to assume that the exchange rate (currently at **19.28 ZMW/USD**) remains highly sensitive to commodity price swings. This volatility impacts most of the economy not involved in mining by fluctuating the costs of imported goods.
- Based on Trend Analysis models, GDP growth is projected to stabilize between **7.82% and -1.95 %** for 2026 if we are to consider only these major indicators in our model.

### **Strategic Recommendations**

- To shield the Kwacha from copper price volatility, we should support policies that scale **non-traditional exports**.
- If inflation remains steady at around 7.50%, a gradual reduction of the **14.25% Policy Rate** should be explored to lower the cost of borrowing for the domestic private sector.
- Transition from raw ore exports to local processing. Increasing the "Value Added" within the industrial sector will capture higher margins and this will likely create domestic employment.
- With agriculture at only **5.54%** of GDP, the country should strategically investment in climate-resilient farming that will act as a fiscal hedge against mining sector shocks.

### **Limitations**

- The 2026 forecast does not isolate the specific impact of climate-induced energy deficits on industrial consumption.
- External factors, such as shifts in global demand for "Green Metals," remain a variable not fully accounted for in the current growth model.
- The data set did not include all the indicators as such I only picked those indicators deemed to be the most important and drivers of Zambia's economy.